

Week 9: Macroeconomics: The Big Picture

(based on Chapter 10 of the text)

What you will learn in this lecture:

- An overview of macroeconomics, the study of the economy as a whole, and how it differs from microeconomics
- The importance of the **business cycle** and why policy makers seek to diminish the severity of business cycles
- The meaning of **inflation** and **deflation** and why **price stability** is preferred

Microeconomics versus Macroeconomics

TABLE 10-1

Microeconomic versus Macroeconomic Questions

Microeconomic Questions	Macroeconomic Questions
Should I go to business school or take a job right now?	How many people are employed in the economy as a whole this year?
What determines the salary offered by Citibank to Mukkamadali, a new Columbia MBA?	What determines the overall salary levels paid to workers in a given year?
What determines the cost to a university or college of offering a new course?	What determines the overall level of prices in the economy as a whole?
What government policies should be adopted to make it easier for low-income students to attend college?	What government policies should be adopted to promote employment in the economy as a whole?

Microeconomics versus Macroeconomics

Macroeconomics: The Whole Is Greater Than the Sum of Its Parts

A key insight into macroeconomics is that in the short run—a time period consisting of several years but typically less than a decade—the combined effect of individual decisions can have effects that are very different from what any one individual intended, effects that are sometimes perverse.

The behavior of the macroeconomy is, indeed, greater than the sum of individual actions and market outcomes.

Paradox of Thrift

When families and businesses are worried about the possibility of economic hard times, they prepare by cutting their spending. This reduction in spending depresses the economy as consumers spend less and businesses react by laying off workers. As a result, families and businesses may end up worse off than if they hadn't tried to act responsibly by cutting their spending.

Microeconomics versus Macroeconomics

Macroeconomic Policy

The area of microeconomics, in general, suggests a limited role for government intervention.

In contrast, economists generally believe there is a much wider role for government to play in macroeconomics—most importantly, to manage short-term fluctuations and adverse events in the economy.

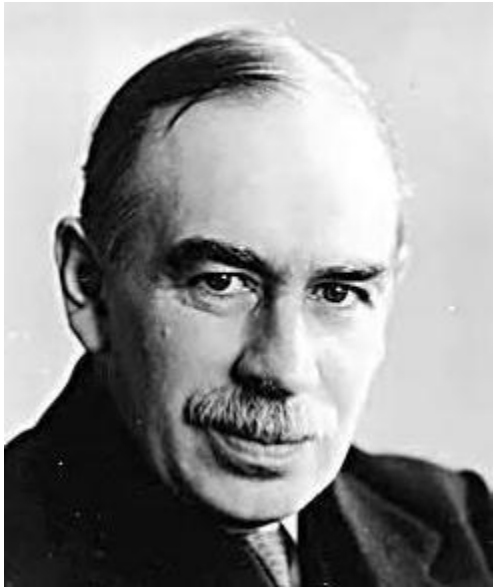
Economic Aggregates

Economic aggregates are economic measures that summarize data across different markets for goods, services, workers, and assets.

Macroeconomics: Theory and Policy

To a much greater extent than microeconomists, macroeconomists are concerned with questions about *policy*, about what the government can do to make macroeconomic performance better. This policy focus was strongly shaped by history, in particular by the Great Depression of the 1930s.

The Great Depression in 1930s and the British economist John Maynard Keynes



John Maynard Keynes
1883 - 1946

A depressed economy is the result of inadequate spending. Government intervention can help a depressed economy through *monetary policy* and *fiscal policy*.

The General Theory of Employment, Interest, and Money

The Business Cycle

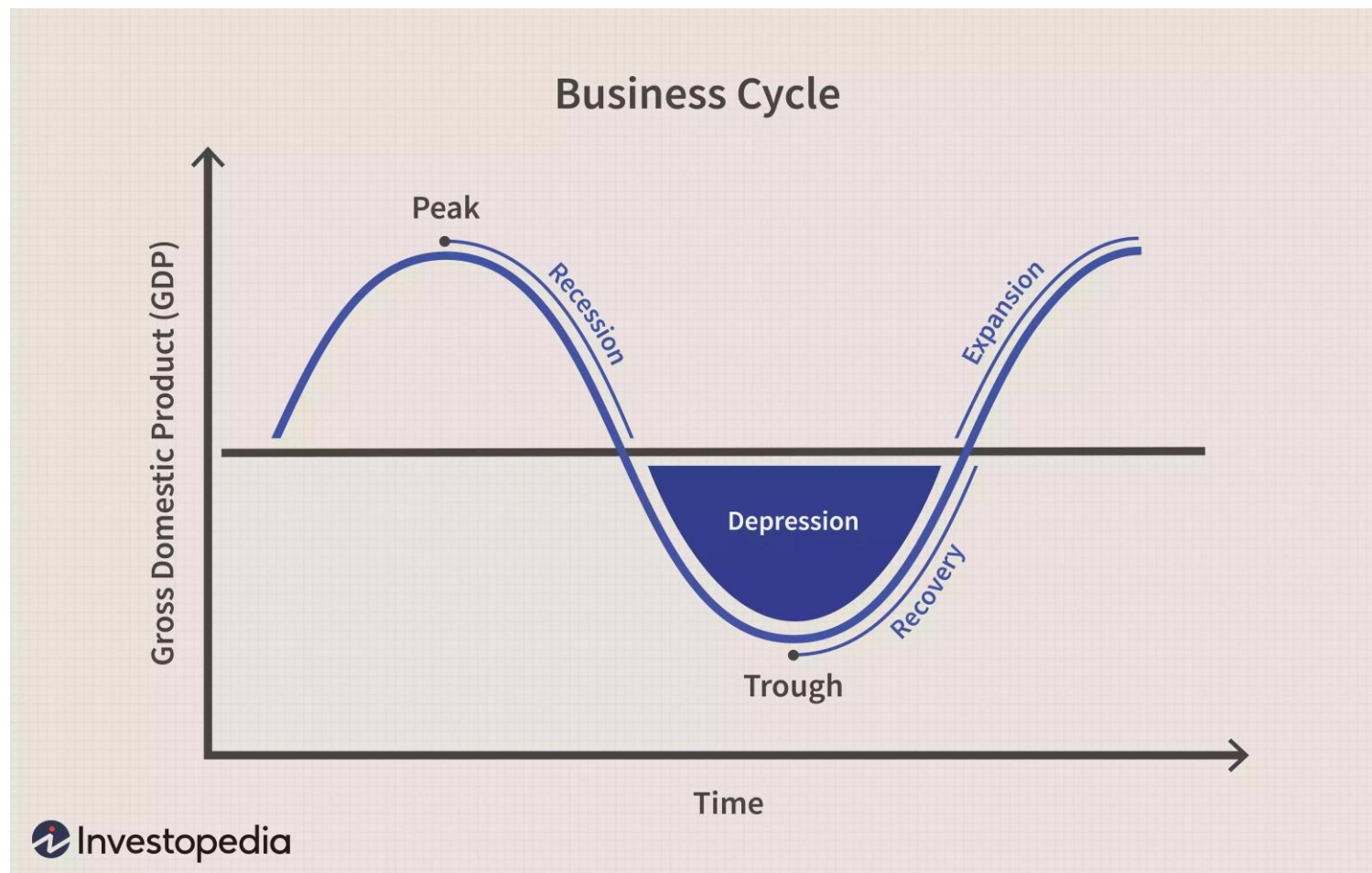
The **business cycle** is the short-run alternation between economic downturns, known as recessions, and economic upturns, known as expansions.

A **depression** is a very deep and prolonged downturn.

Recessions are periods of economic downturns when output and employment are falling.

Expansions, or recoveries, are periods of economic upturns when output and employment are rising.

The Business Cycle: Stages



The Business Cycle



The following years were identified by the US National Bureau of Economic Research (NBER) to be the years when economic crises occurred with global implications: 1960-1961 (April 1960–February 1961), 1969-1970 (December 1969–November 1970), 1973-1975 (November 1973–March 1975 due to the quadrupling of oil price by OPEC), 1979-1980 (January-July 1980 due to the energy crisis caused by the Iranian revolution), 1981-1982 (coinciding with the introduction of personal computers), 1990-1991 (July 1990-March 1991 due to the US stock crash), 1997-1998 (due to the Asian economic crisis), 2000-2001 (March 2000-November 2001 due mainly to the burst of the dot com bubble) and the recent economic crisis (December 2007-June 2009) due to the US subprime mortgage crisis.

The Business Cycle

Employment and Unemployment

Employment is the number of people currently employed in the economy.

Unemployment is the number of people who are actively looking for work but aren't currently employed.

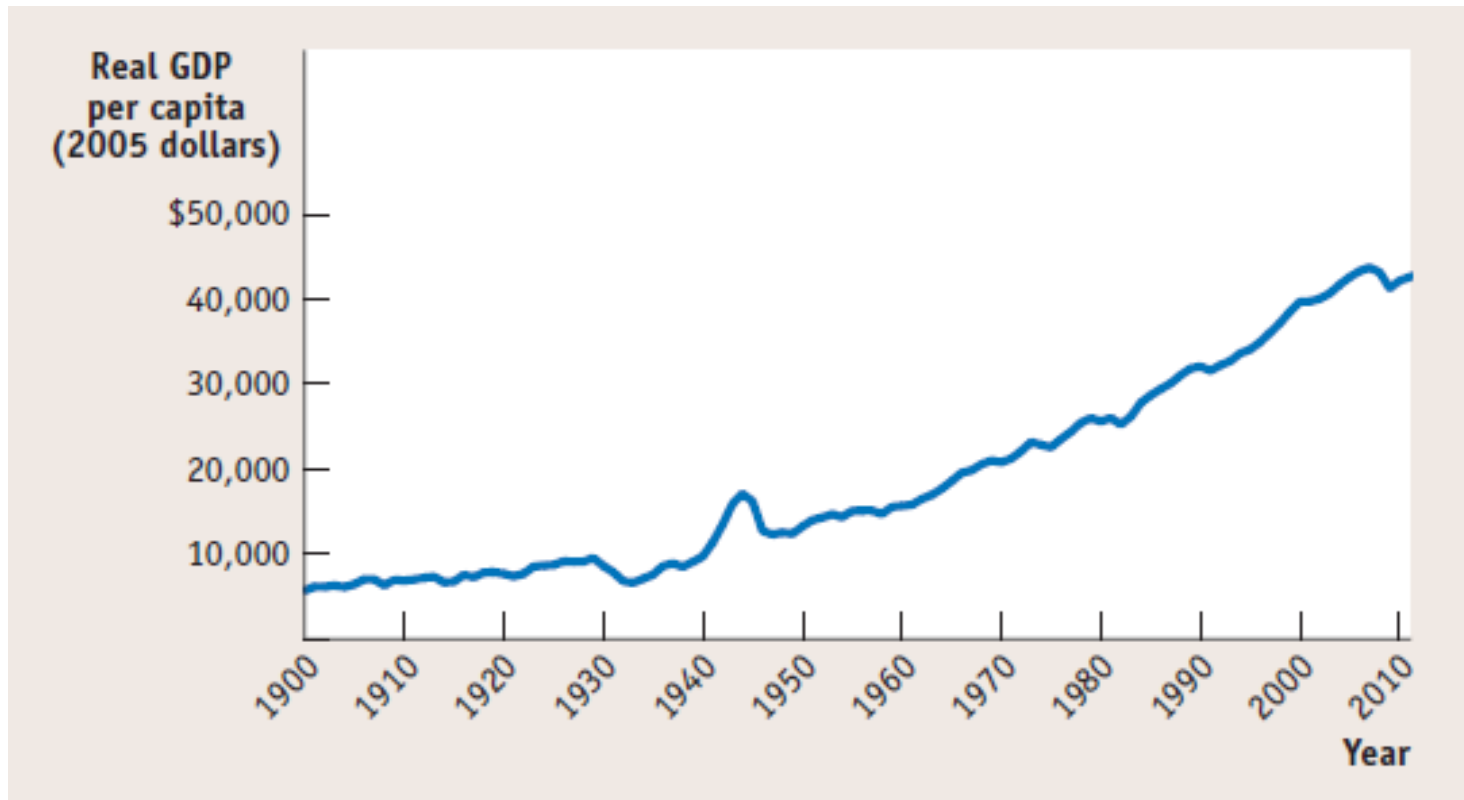
The **labor force** is equal to the sum of employment and unemployment.

Unemployment rate (%) = $\text{Unemployment} / \text{Labor Force} \times 100$

Discouraged workers are nonworking people who are capable of working but have given up looking for a job.

Long-Run Economic Growth

Aggregate Output



The Business Cycle

Taming the Business Cycle

Policy efforts undertaken to reduce the severity of recessions and to rein in excessively strong expansions are called **stabilization policy**.

Monetary policy is a type of stabilization policy that involves changes in the quantity of money in circulation or in interest rates, or both.

Fiscal policy is a type of stabilization policy that involves changes in taxation or in government spending, or both.

Inflation and Deflation

A **nominal** measure is a measure that has not been adjusted for changes in prices over time.

A **real** measure is a measure that has been adjusted for changes in prices over time.

The economy has **price stability** when the aggregate price level is changing only slowly.

The **aggregate price level** is the overall price level for final goods and services in the economy.

A rising aggregate price level is **inflation**.

A falling aggregate price level is **deflation**.

The **inflation rate** is the annual percent change in the aggregate price level.

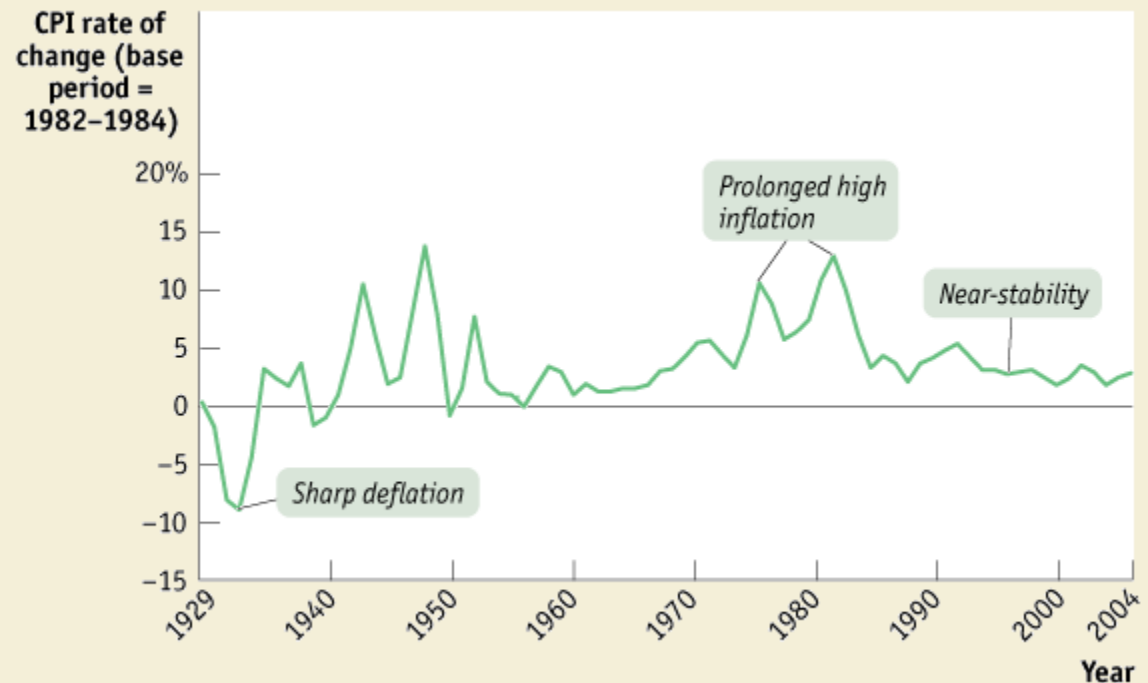
Inflation and Deflation

Figure 14-6

Inflation and Deflation Since 1929

This figure shows the annual rate of change of the CPI. After the deflation of the early 1930s, the U.S. economy has consistently had inflation. But the high inflation rates of the 1970s and early 1980s have diminished, and the economy is currently close to price stability.

Source: Bureau of Labor Statistics.



The Causes of Inflation and Deflation

A matter of supply and demand ? No!

What causes the overall level of prices to rise or fall?

In the short run, movements in inflation are closely related to the business cycle.

In the long run, by contrast, the overall level of prices is mainly determined by changes in the money supply.

The Pain of Inflation and Deflation

Both inflation and deflation can pose problems for the economy.

Inflation discourages people from holding onto cash.

In deflation, holding on to cash can become more attractive than investing in new factories and other productive assets

International Imbalances

Trade Deficit : $\text{Imports} > \text{Exports}$

Trade Surplus : $\text{Exports} > \text{Imports}$

Microeconomic analysis tells us why countries trade but not why they run trade surpluses or deficits.

Trade deficits and their opposite, trade surpluses, are macroeconomic phenomena: Countries with high investment spending relative to savings run trade deficits; countries with low investment spending relative to savings run trade surpluses.

KEY TERMS

Economic aggregates

Business cycle

Depression

Recessions

Expansions

Employment

Unemployment

Labor force

Discouraged workers

Underemployment

Unemployment rate

Aggregate output

Stabilization policy

Monetary policy

Fiscal policy

Nominal

Real

Aggregate price level

Inflation

Deflation

Price stability

Inflation rate

Exercises

- Answer Questions 1-3, Chapter 10, p.324.
- What are the major monetary and fiscal instruments governments use to achieve economic stability?
- In times of recession, what kind of monetary and fiscal policies should be appropriate to stabilise the economy? Discuss.
- In times of high inflation, what kind of monetary and fiscal policies should be appropriate? Discuss.